



INSURANCE AND PENSIONS COMMISSION



REPORT FOR FUNERAL ASSURERS

FOR THE CUMULATIVE PERIOD ENDING 31 DECEMBER 2017

160 Rhodesville Avenue
Greendale
Harare

Tel. 443358/443261/443422
Cell: 0772 154 281, 0772 154 282, 0772 154 283, 0772 154 284
Fax. 443304
E-MAIL: enquiry@ipec.co.zw



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List of Acronyms and Abbreviations

GPW	Gross Premium Written
AFDBG	African Development Bank Group
NPW	Net Premium Written
IPEC/Commission	Insurance and Pensions Commission
Y-Growth	Yearly growth
Q1	First Quarter
Q3	Third Quarter
'16	2016
'17	2017
H1	Half year
Var	Variance
F. Funeral	First Funeral

This report is based on direct funeral assurers and gross premium of funeral business underwritten by life companies. All figures are in United States Dollars (USD '000')



Acknowledgement

The information contained in this report has been extracted from the quarterly unaudited returns submitted to the Commission in line with Section 30 of the Insurance Act [Chapter 24:07]. No adjustments have been made to the returns' data except where necessary and this was done in consultation with the funeral assurer(s) concerned.



Disclaimer

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1. Overview of the Insurance and Pensions Commission(IPEC)

- 1.1 The Commission supervises and regulates the operations of life and non-life insurance companies, mutual societies, funeral assurance companies and insurance brokers.
- 1.2 It issues licenses to insurance agents, general agents, insurers, brokers, loss adjusters, pension funds, provident funds and pension funds administrators.
- 1.3 The Commission derives its mandate from the Insurance Act [Chapter 24:07], Pensions and Provident Funds Act [Chapter 24:09] and the Insurance and Pensions Commission Act [Chapter 24:21].

Mission Statement

- 1.4 The Commission's mission is, "to regulate and supervise the Insurance and Pension industry so as to protect the interests of policyholders and pension scheme members to facilitate industry growth."

Vision statement

- 1.5 The Commission's vision is to have, "**A vibrant Insurance and Pension Industry contributing towards a safe and stable financial system**"

IPEC Core Values

- 1.6 The following are the core values of the Commission;

a) Integrity

We are ethical and honest in our dealings with all our stakeholders. In doing so, we apply agreed policies equally to all, maintain the highest of personal, professional and ethical conduct.

b) Fairness

We shall apply rules, regulations and procedures equally without fear and favour.

c) Transparency

We disclose full information, on time to relevant stakeholders where applicable.

d) Accountability

We take full responsibility and are answerable for our decisions and actions.

e) Confidentiality

We shall handle our clients and their information in confidence.



2. Executive Summary

- 2.1 The number of funeral assurers operating in the market remained 9 as at 31 December 2017 as there were no new registrations or cancellations of operating licences during the period under review. However, all life insurance companies were also underwriting funeral assurance business during the period under review.
- 2.2 The asset base for the funeral assurance industry stood at \$71.77 million as at the 31 December 2017, a 16 percent increase from \$61.80 million reported as at the 31 December 2016.
- 2.3 This growth in asset base of the funeral industry was mainly driven by a \$4,24 million increase in fixed property and \$2.92 million increase in money market investments.
- 2.4 Amount invested in prescribed asset by the funeral assurance industry as at 31 December 2017 was \$1.14 million, an increase of \$0.81 million from the amount reported as at 31 December 2016. This representing an improvement of industry compliance from 0.5 percent as at 31 December 2016 to 1.62 percent as at 31 December 2017. The industry is still not compliant with the required prescribed asset level of 7.5 percent.
- 2.5 The funeral assurance industry had an above average level of liquidity as shown from an average current ratio of 191 percent and working capital of \$17.2 million.
- 2.6 The total liabilities for the funeral industry as at the 31 December 2017 increased by 20 percent from \$30.32 million as at 31 December 2016 to \$36.44 million.
- 2.7 As at 31 December 2017 the funeral assurance industry had technical liabilities amounting to \$21.28 million constituting 58 percent of the industry's total liabilities.
- 2.8 The capital base of the funeral assurance industry decreased by 8 percent from \$38.31 million in 2016 to \$35.3 million in 2017 resulting from a 20 percent increase in liabilities.
- 2.9 Gross written premium for the period grew by 13 percent compared with the year 2016 (from \$152,497 million to \$172,550 million).
- 2.10 This growth was mainly driven by 17 percent growth in funeral assurance business written by life assurers (from \$113.88 million in 2016 to \$132, 57 million in 2017).
- 2.11 The NWP for funeral assurers was the same as their GWP, implying a one hundred percent risk retention by the funeral assurance industry. Lack of reinsurance arrangements



by dedicated funeral assurers is a cause of concern especially in view of the fact that some of the players are inadequately capitalised to the minimum regulatory capital requirements.

2.12 Claims reported for the year 2017 decreased by 18 percent from \$11.9 million reported as at 31 December 2016 to 9.8 million.

2.13 Technical profits decreased from \$10. 72 million in 2016 to \$5.47 million in 2017 representing a decrease of 49 percent for the year 2017.

2.14 Table 1 below summarises the key financial highlights for the funeral assurance industry as at the 31st of December 2017 as well as the comparative period.

Table1: Summary of business performance by funeral assurance Industry for cumulative period ending 31 December 2017.

Financial Aspect	Funeral Assurers		
	Dec-16	Dec-17	Growth
Funeral assurers NPW (\$000)	38 618	39 982	4%
Life assurers NPW (\$000)*	113 879	132 569	16%
Retention Ratio	100%	100%	0%
Total Gross Claims (\$000)	11 912	9 813	-18%
Management Expenses (\$000)	15 952	19 555	23%
Commissions (\$000)	3 123	3 403	9%
Total Costs(\$000)	30 987	32 771	6%
Net Profit(\$000)	10 715	5 469	-49%
Expense Ratio	49%	57%	8%
Claims Ratio	31%	25%	-6%
Combined Ratio	80%	82%	2%
Total Assets (\$000)	61 799	71 769	16%
Total Liabilities (\$000)	30 323	36 441	20%
Current Assets	24 258	27 371	13%
Current Liabilities	4 137	14 367	247%
Capital(\$000)	38 316	35 328	-8%
Capital to liability Ratio	163%	97%	-66%
Prescribed Assets (\$000)	326	1140	250%
Prescribed Asset Ratio (%)	0,500%	1,59%	14%

*The figures in all other lines in the table do not include components from life assurers.



2.15 The Commission observed compliance issues relating to minimum capital requirement, payment of levies, and submission of returns and structure of investment portfolios.

3. Economic Overview

3.1 The Zimbabwean economy's gross domestic product grew by 3.4 percent in 2017 as per the World Bank Group (WB) economic overview for 2017 (source: WB).

3.2 GDP growth was mainly driven by recovery in the agriculture sector. The country's fundamentals for economic growth improved in 2017 as compared to 2016.

3.3 However constraints such as structural challenges from weak domestic demand, high public debt, weak investor confidence, and a challenging political environment and liquidity challenges remains a drag on the economic performance.

3.4 Annual inflation for the country in 2017 was 1.3 percent, a 35 percent decline from 1.6 percent reported in 2016.

4. Architecture of the industry

4.1 There were 9 funeral assurers as at the 31st of December 2017 and 11 life assurers who were underwriting funeral assurance business as part of their business portfolio.

4.2 The number of players in the funeral assurance industry remained static as was reported in the same period last year, as the Commission did not issue any new license, neither did it suspend or deregister existing funeral assurance players during the reporting year.

4.3 As at the reporting date, the funeral assurance industry had a staff compliment of 390, a slight increase compared to 386 as at 31 December 2016. Agents supporting this staff compliment were 226 of which ninety eight percent were individual agents and the rest were corporate agents.

4.4 There was a negligible decrease in operational branches from 103 as at the 31st of December 2016 to 102 as at the reporting date.

4.5 Table 2 below gives summary statistics on the number of agents, staff and operational branches for each funeral assurers.



Table 2: Registered agents and operational staff

Name of Company	Corporate Agents		Sole Agents		Staff		Branches	
	2016	2017	2016	2017	2016	2017	2016	2017
Orchid	0	0	0	0	13	8	2	1
Doves	0	0	90	90	60	60	24	24
First Funeral	0	0	19	19	45	47	10	10
Foundation		0	18	18	26	33	8	8
Moonlight	0	0	65	70	122	122	34	34
Passion	0	0	4	4	5	22	3	3
Ruvimbo	0	0	6	6	50	30	15	15
Sunset	1	1	3	4	7	7	2	2
Vineyard	3	3	11	11	58	61	5	5
Total	4	4	216	222	386	390	103	102

4.6 The Commission continues to remind players that the use of unregistered agents is a violation of the Insurance Act [Chapter 24:07] and players should make sure that their agents are registered with the Commission before being charged with appropriate penalties in terms of the law.

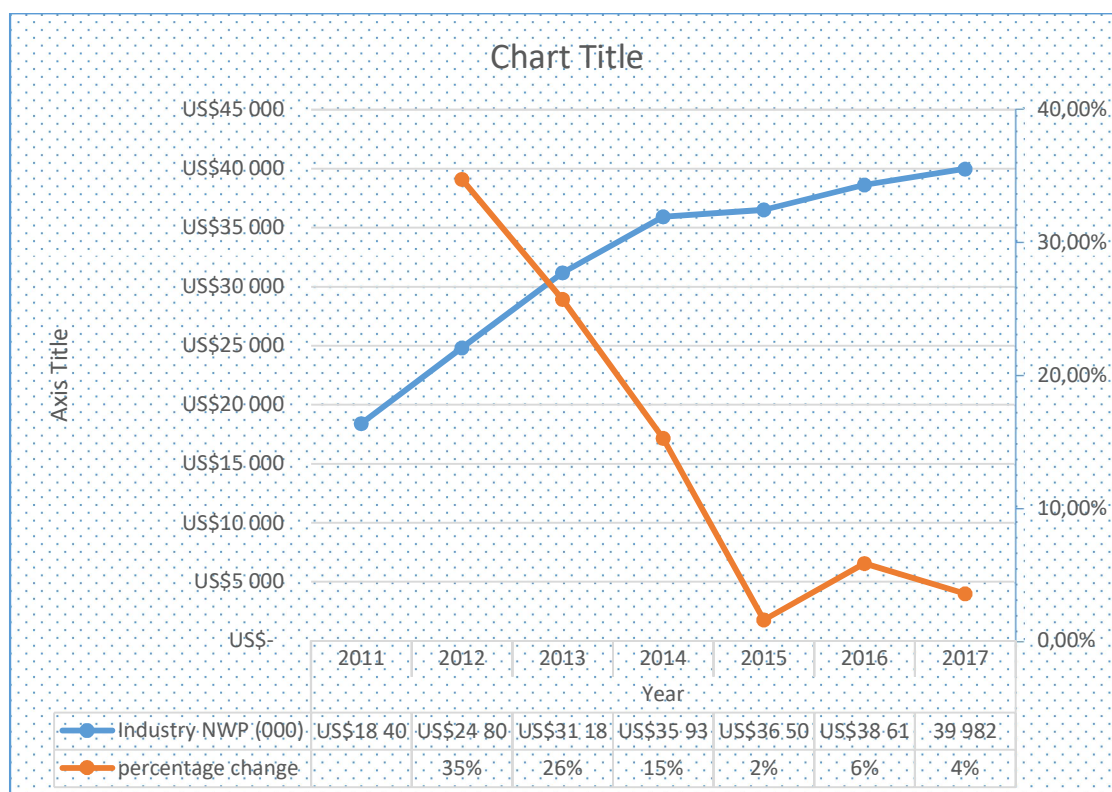
5. Business Written and its Composition

5.1 For the year ended 31 December 2017, the GWP for funeral business was \$172.550 million, a growth rate of 13 percent from that reported in the same period last year.

5.2 The bulk of funeral assurance business came from Life assurers who wrote \$132.57 million which translate to 76.83 percent of the net written premium while the balance of the business was written by 9 direct funeral assurance companies.

5.3 Notwithstanding the economic challenges being faced by the nation, the funeral assurance industry continues to post positive growth in terms of business as shown in Figure 1 below.

Figure 1: Gross written premium growth trends from 2011 to 2017



5.4 Although the average industry growth rate in terms of GWP was positive, most individual funeral assurers reported a negative growth rates ranging from negative 2 percent to negative 54 percent as shown in Table 3 below.



Table 3: Net written premium distribution by company for the cumulative period 31 December 2017

Name of Company	Dec 2016 (000)	Dec 2017(000)	Growth
Orchid	130	60	-54%
Doves	14 474	17 006	17%
First Funeral	7 460	7 340	-2%
Foundation	966	1 067	10%
Moonlight	12 766	11 731	-8%
Passion	1 043	1 126	8%
Ruvimbo	650	562	-14%
Sunset	117	94	-20%
Vineyard	1 012	995	-2%
Life assurers Funeral business	113 879	132 569	16%
Total	152 497	172 550	13%

**The total NPW figure above includes funeral business of US\$132.57 million written by Life assurers.*

5.5 The funeral assurance industry continues to underwrite more individual business as compared to corporate business. This is evidenced by the bigger proportion of premium written of about 57 percent being generated from individual life business as at 31 December 2017.



Table 4: Net Written Premium breakdown for the year ending 31 December 2017.

Co. Name	Individual Life (000)						Corporate Business (000)						Total Gross Premiums (000)		
	New Business			Recurring Premiums			New Business			Recurring Premiums					
	Dec-16	Dec-17	Growth (%)	Dec-16	Dec-17	Growth (%)	Dec-16	Dec-17	Growth (%)	Dec-16	Dec-17	Growth (%)	Dec-16	Dec-17	Growth (%)
Orchid	0	-	0%	22	2	-1000%	0	0	0%	108	58	-46%	130	60	-54%
Doves	40	61	53%	1 114	1 357	22%	4180	4258	2%	9 139	11 330	24%	14 473	17 006	18%
F. Funeral	5	5	0%	7 455	7 336	-2%	0	0	0%	0	0	0%	7 460	7 341	-2%
Foundation	13	5	-62%	543	1062	96%	0	0	0%	410	0	-100%	966	1 067	10%
Moonlight	657	403	-39%	12110	11 328	-6%	0	0	0%	0	0	-100%	12 767	11 731	-8%
Passion	3	7	133%	274	252	-8%	4	42	950%	762	824	8%	1 043	1 125	8%
Ruvimbo	84	50	0%	566	217	100%	0	153	0%	0	143	0%	650	563	-13%
Sunset	0	75	0%	117	19	-84%	0	0	0%	0	0	0%	117	94	-20%
Vineyard	141	90	100%	71	390	0%	327	106	-208%	473	409	-14%	1 012	995	-2%
TOTAL	943	696	-26%	22 272	21 963	-1%	4511	4559	1%	10 892	12 764	17%	38 618	39 982	4%

**This analysis does not include the premium for funeral assurance business written by life assurers*

5.6 As indicated in the table above recurring business remains the major driver of premium written as it constituted 87 percent of gross premium written.

5.7 New business for the year ended 31 December 2017 decreased by 3.6 percent from \$5.5 million to \$5.3 million for the year ended 31 December 2017

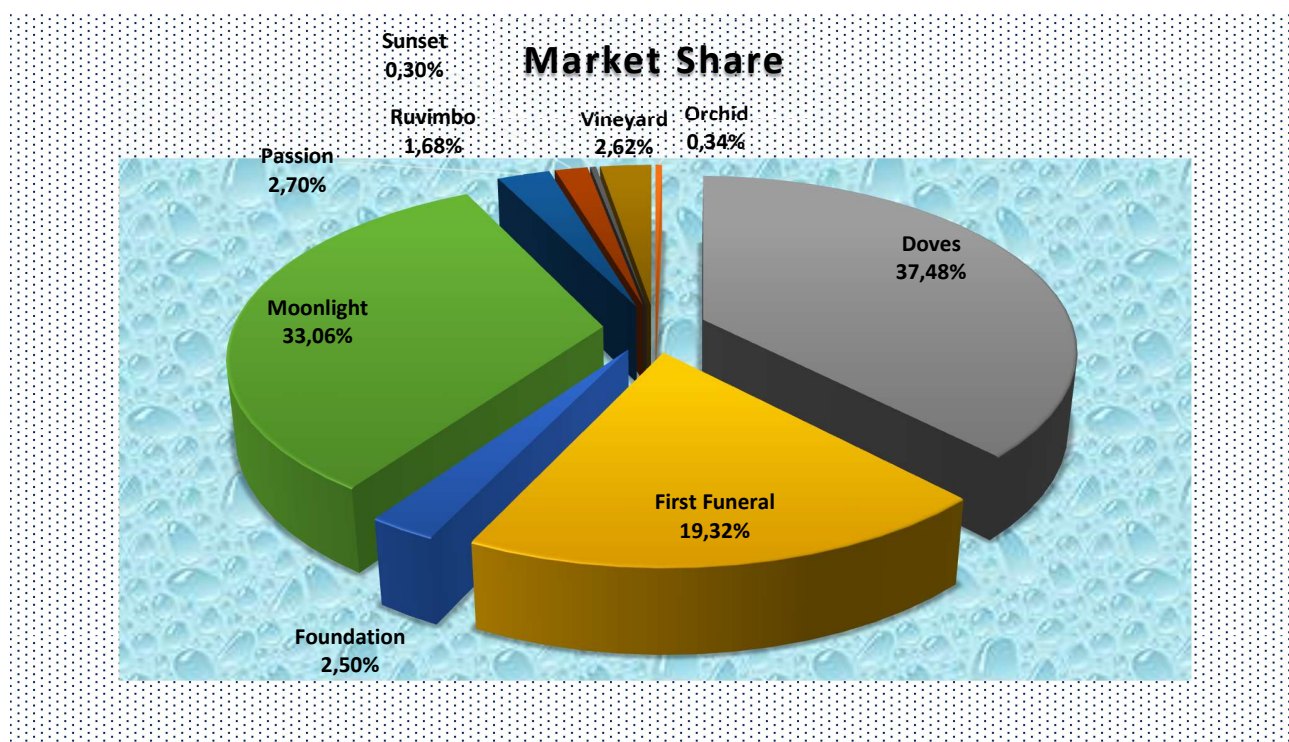
5.8 This underscores the need for funeral assurers to develop new markets and venture into new frontiers of business so as to increase new business.

6. Market share

6.1 The market share of the industry in terms of gross written premium continues to be concentrated in 3 companies who had a combined market share of around 90 percent.

6.2 The pie chart below shows the market share of each dedicated funeral assurer as at the reporting dead based on GWP

Figure 2: Market Share for Funeral assurers by Gross Written Premium



**Information in this figure excludes the business written by life assurance companies*

6.3 Players are expected to ensure that premiums being charged to policyholders are actuarially determined and are adequate to cover the risks being assumed when writing new business.

6.4 Rate pressure and undercutting is heavily discouraged by the Commission as this may compromise the ability of the insurer to develop and maintain an adequate insurance fund to meet policyholders' obligations as and when they arise.

Claims aged analysis

6.5 As at 31 December 2017, total outstanding claims amounted to \$63,000. Claims aged more than 30 days amounted to \$47,000.



6.6 Funeral assurance claims are urgent in nature and they should be quickly paid so that bereaved families are not inconvenienced.

6.7 The Commission encourages the industry players to have in place elaborate claims handling procedures.

6.8 The Commission will continue to monitor both the capacity and efficiency of assurers in settling claims and corrective measures will be taken where necessary.

Table 5: Claims Aged Analysis (000) as at 31 December 2017

Name of Company	Orchid	Doves	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
>30days	2	0	5	0	0	0	3	6	0	16
31-60days	0	0	2	0	0	0	1	9	0	12
61-90days	0	0	8	0	0	0	0	17	0	25
91-120days	0	0	4	0	0	0	0	6	0	10
<121 days	0	0	0	0	0	0	0	0	0	0
Reinsurance	0	0	0	0	0	0	0	0	0	0
Total	2	0	19	0	0	0	4	38	0	63

6.9 Ability to settle claims timeously is a good yard stick to measure a funeral assurer's financial soundness and assurers should strive to have adequate liquid reserves to settle claims as and when they arise.

7. Capitalisation and Solvency

7.1 In terms of Statutory Instrument 95 of 2017, the current minimum regulatory capital for funeral assurers is \$2.5 million based on adjusted assets and liabilities as prescribed in the Statutory Instrument.

7.2 As at 31 December 2017, the unadjusted capital positions for funeral assurance players ranged from \$0.7 million to \$18.05 million and only 4 out of 9 funeral assurers were compliant with the minimum capital requirement of \$2.5 million as depicted in Table 6 below



- 7.3 However, it is important to note that the capitalization levels for all funeral assurers stated in this report are based on their reported assets and liabilities as at 31 December 2017. These figures were not adjusted in terms of Statutory Instrument 95 of 2017 as the information that is needed in adjusting the assets and liabilities was not readily available during the preparation of this report.
- 7.4 The Commission has scheduled a capital verification exercise that will be conducted during the year 2018 to establish the capitalization levels of individual assurers in terms of the aforementioned statutory instrument.
- 7.5 Based on unadjusted assets and liabilities the capital cover ratio as at 31 December 2017 for the funeral assurance industry ranged from 27.96 percent to 661.92 percent with the industry average being 149. percent (see appendix 1A).
- 7.6 The average solvency ratio for the industry as at 31 December 2017 was 165.98 percent which is considered adequate. The solvency ratio ranged from 22.46 percent to 858.54 percent.
- 7.7 Funeral assurers with capital maintenance ratios below 100 percent should submit recapitalization plans for the Commission's consideration.
- 7.8 The table below shows the capitalisation position for the funeral assurance industry as at 31 December 2017.



Table 6: levels of Capitalisation, Liquidity and Solvency indicators as at 31 December 2017 on an unadjusted basis

Company	Current Assets			Current Liabilities			Total Assets		Total Liabilities			Capital (Net Assets)			Capital to liability Ratio (%)			Current Ratio(%)		
	Dec-16	Dec-17	%	Dec-16	Dec-17	%	Dec-16	Dec-17	Dec-16	Dec-17	%	Dec-16	Dec-17	%	Dec-16	Dec-17	%	Dec-16	Dec-17	%
Orchid	158	3033	1820%	83	146	76%	1 282	4 144	578	3 437	495%	704	707	0%	122%	21%	-101%	190%	2077%	1887%
Doves	11 895	13 232	11%	1 955	2 707	38%	23 489	30 328	9 938	12 282	24%	20 391	18 046	-12%	658%	147%	-511%	608%	489%	-119%
F.Funeral	5 314	4 078	-23%	549	587	7%	10 469	9 526	3733	4 352	17%	6 736	5 174	-23%	180%	119%	-61%	968%	695%	-273%
Foundation	694	742	7%	284	179	-37%	2 394	2 329	1 531	1 405	-8%	863	924	7%	56%	66%	10%	244%	415%	171%
Moonlight	4 765	5 009	5%	731	9 542	1205%	16 315	16 701	12 725	12 987	2%	3 590	3 714	3%	28%	29%	1%	652%	52%	-600%
Passion	426	396	-7%	114	251	120%	1 247	1 135	439	579	32%	808	556	-31%	184%	96%	-88%	374%	158%	-216%
Ruvimbo	428	81	-81%	91	509	459%	2 624	3 229	789	681	-14%	1 835	2 548	39%	233%	374%	141%	470%	16%	-454%
Sunset	9	99	1000%	109	229	110%	1 704	1 775	203	228	12%	1 501	1 547	3%	739%	679%	-60%	8%	43%	35%
Vineyard	569	701	23%	221	217	-2%	2 275	2 602	387	490	27%	1888	2 112	12%	488%	431%	-57%	257%	323%	66%
Total	24 258	27 371	13%	4 137	14 367	247%	61 799	71 769	30 323	36 441	20%	38 316	35 328	-8%	163%	97%	-66%	586%	191%	-395%

**Capital positions in this table are not adjusted in terms of Statutory Instrument 95 of 2017*

Key

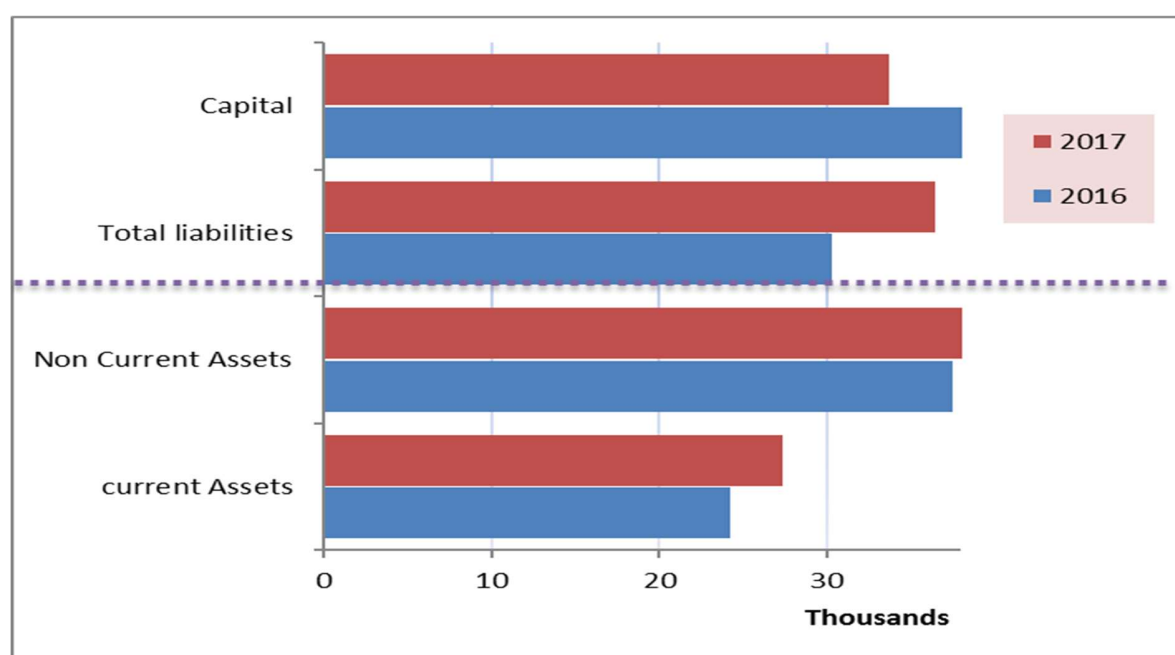
	Capital above the minimum required capital of USD2,500,000
	Capital below the minimum required capital of USD2,500,000

7.9 As in the table above the total capital for the funeral assurance industry as a whole decreased by 8 percent (from \$38.3 million as at 31 December 2016 to 35.33 million as 31 December 2017).

7.10 This was mainly due to an upsurge in liabilities by 20 percent (from \$30.3 million as at 31 December 2016 to \$36.44 million as 31 December 2017).

7.11 Shareholders equity on average financed up to 49.22 percent of the funeral assurance industry assets as shown by the equity to total assets ratio of 49.22 percent (see appendix 1A).

Figure 4 levels of Capitalisation, Liquidity and Solvency indicators as at 31 December 2017



7.12 Current assets increased by 13 percent from 2016 to 2017 which fares well with the need for industry players to have liquid or near liquid assets to meet claims obligation as they arise.

8. Asset composition and quality

8.1 The funeral assurance industry assets stood at \$71.77 million as at 31 December 2017 an increase of 14 percent from those reported in the prior year (see appendix A4).

8.2 The asset base for the funeral assurance industry remains mainly concentrated in other investments¹ (51.46 percent) and fixed property (40.96 percent) constituting 92.42 percent of total assets which presents concentration risk to the industry.

¹ *Other investments comprise of premium receivables, furniture and fittings, motor vehicles, computer equipment, staff debtors, intercompany investments and funeral services current account.*

8.3 Despite an increase in investments in cash and cash equivalents, the asset mix of Funeral assurers remain heavily skewed towards less liquid assets with cash and cash equivalents accounting only for 5.92 percent of total assets (1.55 percent for cash and 4.37 percent for money markets).

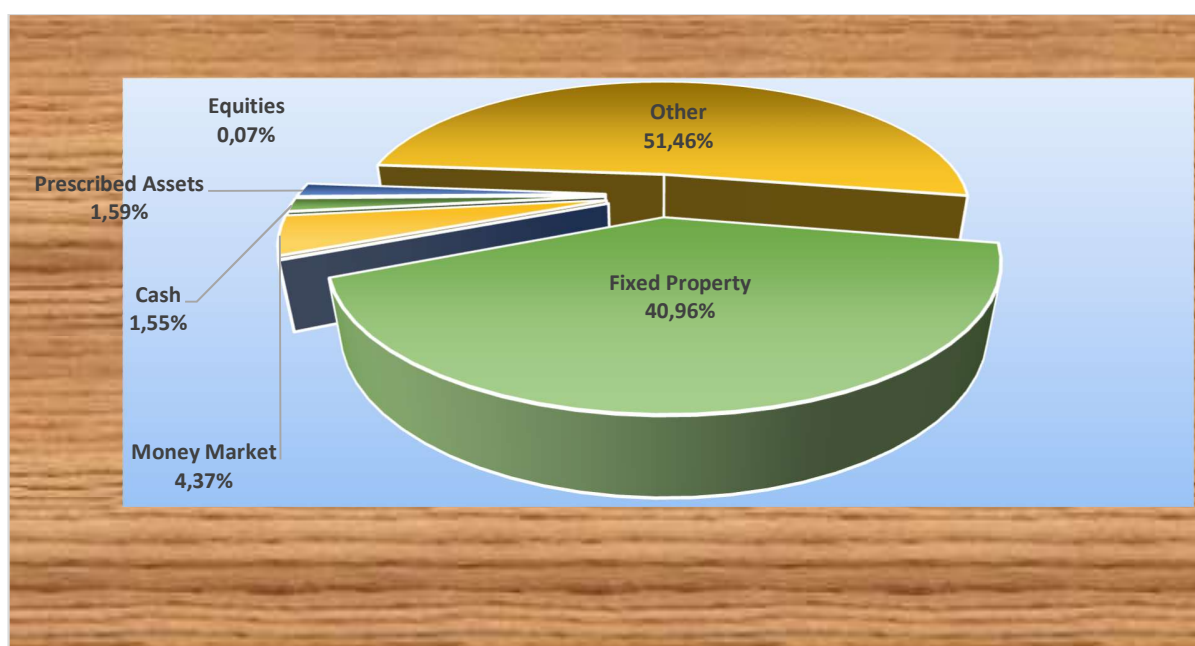
8.4 As at 31 December 2017, the average prescribed asset ratio for the funeral assurance industry was 1.62 percent which is an improvement from a ratio of 0.5 percent as at 31 December 2016.

8.5 The industry however remains below the minimum prescribed ratio of 7.5 percent. Players should comply with the required prescribed asset ratio.

8.6 In addition, the funeral industry was mainly invested in short term assets which poses an asset/liability mismatch risk in view of the fact that the liabilities of the industry are long term in nature.

8.7 Fig 5 below shows breakdown of assets.

Figure 5: Breakdown of assets



**Other investments comprise of premium receivables, furniture and fittings, motor vehicles, computer equipment, staff debtors, intercompany investments and funeral services current account.*



8.8 The industry is expected to put in place investment strategies that are aimed at addressing concentration risk as well as ensuring that assets are matched to the nature and frequency of their insurance liabilities.

8.9 Such investment strategies and policies should be reviewed on an ongoing basis to address changing circumstances as well as complying with investment guidelines issued by the Commission from time to time.

8.10 The quality of the industry's assets is also compromised by premium debtors which stood at \$3.13 million as at the reporting date.

8.11 Of these debtors 42.8 percent were aged more than 90 days as shown in Table 8 below, making them inadmissible for the purposes of regulatory solvency in terms of Statutory Instrument 95 of 2017.

Table 8: Debtors Aged Analysis (000) as at 31 December 2017

Name of Company	Orchid	Doves	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
>30days	7	347	168	12	97	32	40	1	104	808
31-60days	6	0	271	13	130	24	8	1	124	577
61-90days	3	0	51	10	170	21	0	3	145	403
91-120days	2	0	0	8	225	12	0	1	75	323
<121 days	0	0	0	76	283	575	0	0	82	1016
Total	18	347	490	119	905	664	48	6	530	3127

8.12 The industry's average ratio of debtors to gross premium was 25.52 percent (see appendix 1A), a ratio which is still regarded as high as it might compromise maintenance of a sound insurance fund for payment of policyholder obligations as they arise. A ratio of 10 percent and below is commendable.

8.13 In light of the inadmissibility of premium debtors aged more than 90 days for computation of regulatory solvency capital, funeral assurers are therefore encouraged to put in place measures that will contain premium debtors within thresholds that are allowed for when computing regulatory solvency capital.



9. Risk management and Actuarial matters

Risk management

Liquidity risk.

9.1 The funeral assurance industry faces low levels of liquidity risk as gleaned from an industry average current ratio of 191 percent.

9.2 However, three players are particularly vulnerable, with current ratios below 100 percent while the remaining players have ratios well above 100 percent (see appendix 1A). Working capital for the industry as at 31 December 2017 was \$17.2 million.

9.3 As per the dictates of the Statutory Instrument 95 of 2017 players are required to have not less than 10 percent of their assets invested in liquid assets. This helps to minimise liquidity risk.

Underwriting risk

9.4 Underwriting risk in the funeral assurance industry remains moderate as evidenced by the continued prevalence of technical profits.

9.5 Players are encouraged to continue pricing for risk and to be more vigilant in structuring their products so as to minimise underwriting leakage.

Market risk

9.6 Market risk is the possibility for an assurer to experience losses due to factors that affect the overall performance of the financial markets where an assurer's assets which support liabilities are invested.

9.7 Market risk continues to be high due to liquidity squeeze and lack of diversity in available financial products in the financial markets.

9.8 Players are encouraged to diversify their investment portfolios in available investment securities in line with Circular 3 of 2013 to reduce concentration in certain asset classes.

Operational risk

9.9 Operational risk arises from inadequate or failed internal processes, people and systems, or from external events such as fraud and natural disasters.

9.10 Players should prioritise setting up of effective internal control systems with proper segregation of duties.



9.11 This will help to reduce internal and external fraud. Players are also encouraged to adopt effective information technology systems and eliminate manual processes in underwriting and claims processing.

9.12 This will go a long way in reducing levels of operational risk in the industry.

Compliance risk

9.13 Compliance risk remains high in the funeral assurance industry. Non-compliance is prevalent in the following area;

- Non-compliance with minimum capital requirements
- Non-compliance with the minimum solvency margin.
- Non-compliance with prescribed asset ratios.
- Late submission of quarterly returns.
- Late submission of audited financial statements.
- Late payment of levies.

9.14 The Commission takes great exception when it comes to issues of compliance and players are required to take them seriously and comply to avoid being penalised.

Actuarial Matters

9.15 Total technical liabilities for the funeral assurance industry as at 31 December amounted to \$21.28 million in the form of future policyholder benefits.

9.16 The average total assets to technical reserves ratio for the industry as at 31 December 2017 was 337.20 percent which is considered adequate.

9.17 The industry players are encouraged to review technical reserves periodically using acceptable methods to ensure that they are always adequate.

10. Reinsurance

10.1 Players in the funeral assurance industry continue to retain 100 percent of their risks with no reinsurance arrangements in place.

10.2 In view of the fact that some of the funeral assurers are not adequately capitalized based on assets and liabilities that are not adjusted in terms of SI 95 of 2017, it is critical for the undercapitalized institutions to consider putting reinsurance arrangements in place with a view to safeguard policyholder interests.



11. Earnings

11.1 Total income for the industry for the year ended 31 December 2017 amounted to \$39.98 million indicating a 4 percent increase from the previous comparable period.

11.2 For the period under review net profits decreased by 49 percent (from USD10.72 million to USD5.47 million) as compared to the year 2016 (see table 1).

11.3 This was as a result of an increase in total costs by 6 percent. The increase in total costs was mainly driven by an increase of 23 percent in management expenses and an increase of 9 in commissions paid.

11.4 Players are encouraged to rationalize costs so as to improve their profitability.



Table 9: Key earnings indicators for the quarter ended 31 December 2017

Co. Name	NPW			Claims (000)			Commissions(000)			Management Expenses			Total Costs(000)			Combined Ratio		
	Dec-16	Dec-17	Growth	Dec-16	Dec-17	Growth	Dec-16	Dec-17	Growth	Dec-16	Dec-17	Growth	Dec-16	Dec-17	Growth	Dec-16	Dec-17	Growth
Orchid	130	60	-54%	19	7	-63%	1	0	0%	178	60	-66%	198	67	-66%	152%	112%	-40%
Doves	14 474	17 006	17%	4 371	3 352	-23%	1256	1233	-2%	4 645	6 386	37%	10 272	10 971	7%	71%	65%	-6%
F.Funeral	7 460	7 341	-2%	2 302	2 481	8%	1 404	1 657	18%	2 517	2 455	-2%	6 223	6 593	6%	83%	90%	7%
Foundation	966	1 067	10%	128	121	-5%	53	94	77%	822	801	-3%	1003	1 016	1%	104%	95%	-9%
Moonlight	12 766	11 731	-8%	4 543	3 264	-28%	345	307	100%	6 260	8 103	29%	11 148	11 674	5%	87%	100%	13%
Passion	1 043	1 125	8%	238	289	21%	9	76	100%	407	650	60%	654	1 015	55%	63%	90%	27%
Ruvimbo	650	563	-13%	77	79	3%	0	0	0%	451	427	-5%	528	506	-4%	81%	90%	9%
Sunset	117	94	-20%	9	15	100%	0	2	0%	126	133	6%	135	150	11%	115%	160%	45%
Vineyard	1 012	995	-2%	225	205	-9%	55	34	-38%	546	540	-1%	826	779	-6%	82%	78%	-4%
Total	38 618	39 982	4%	11 912	9 813	-18%	3 123	3 403	9%	15 952	19 555	23%	30 987	32 771	6%	80%	82%	2%

11.5 As in the table above combined ratio for the industry increased by 2 percent from 80 percent in 2016 to 82 percent in 2017, this reflects the decline in profitability highlighted above.

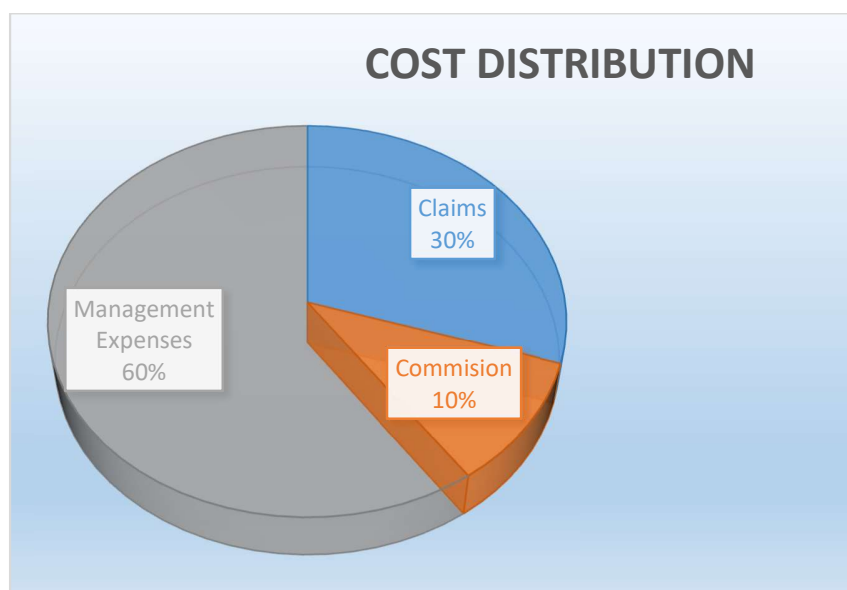
11.6 For the year ended 31 December 2017 the funeral assurance industry recorded an average return on equity of 15.48 percent and return on assets of 7.62 percent.

11.7 This shows an improved level of profitability as compared to the period from January 2017 to September 2017 of 7.56 percent and 4.49 percent respectively.

11.8 The bulk of the earnings in the industry continue to emanate from the core business, making them high quality earnings.

11.9 Major cost drivers for the funeral assurance industry were management expenses whose share of total costs was 60 percent, followed by claims at 30 percent.

Figure 6: Cost distribution for the quarter ended 31 December 2017



11.10 Management expenses at 60 percent of total costs are highly unsustainable and the Commission strongly encourages industry players to relook at their business structures with an aim of rationalizing them with a view of reducing them to below 20 percent of total costs

12. Liquidity

12.1 As at 31 December 2017 liquid assets which includes cash and money market investments comprised of 5.92 percent of total investment assets.

12.2 The ratio of outstanding claims to liquid assets was 1.48 percent as 31 December 2017. This means that outstanding claims were only 1.48 percent of liquid assets

12.3 Industry players should periodically review their liquidity positions with a view of making sure that they have adequate reserves to meet claims as they arise.



13. Conclusion

- 14.1 The Funeral assurance industry is poised for growth as the economy starts to show signs of stabilizing. The Commission continuous to implore players to explore new markets and new innovative products to help spur growth of the industry.
- 14.2 The Commission also encourages players to comply with all regulatory requirements as they form the core of their business activities.
- 14.3 IPEC does not condone non-compliance and appropriate measures will be taken against non-compliance. As the fortunes of the economy improves, the funeral assurance industry growth rates in net written premium are likely to improve.
- 14.4 However, the Commission continues to encourage industry players to be more innovative and introduce funeral assurance products that appeal to the uninsured section of the population.

14. Appendix



APPENDIX A1. KEY PERFORMANCE INDICATORS FOR FUNERAL ASSURANCE COMPANIES										
	Orchid	Doves	F. Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total/ Average
Key Performance Indicator										
Capital Adequacy										
Capital Position (\$ 000)	707	18 046	5 174	924	3 714	556	2 548	1 547	2 112	35 328
Capital Cover Ratio (CCR)	28,28%	721,84%	206,96%	36,96%	148,56%	22,24%	101,92%	61,88%	84,48%	157,01%
Equity/Total Assets Ratio	17,09%	59,50%	54,31%	39,69%	22,24%	51,62%	78,91%	87,15%	81,14%	49,27%
Solvency Margin	22,46%	201,45%	137,42%	75,31%	114,91%	169,51%	670,53%	#DIV/0!	858,54%	165,98%
Asset Quality										
Total Assets (\$ 000)	4 136	30 328	9 526	2 328	16 701	1 077	3 229	1 775	2 603	71 703
Investments to Total Assets	72,53%	2,59%	45,29%	5,24%	0,56%	7,43%	24,65%	0,00%	11,10%	13,22%
Non-Interest Generating Assets/Total Assets	27,22%	62,45%	99,69%	97,21%	99,80%	92,01%	99,85%	99,94%	97,00%	79,50%
Fixed Assets/Total Assets	26,89%	56,37%	11,91%	56,70%	69,44%	59,42%	54,23%	94,42%	63,58%	52,97%
Prescribed Assets Ratio	0,00%	2,58%	0,21%	5,24%	0,56%	3,52%	0,40%	0,00%	2,69%	1,59%
Premium Debtors/Gross Premium	16,67%	2,04%	55,13%	8,62%	41,95%	9,77%	8,54%	104,26%	53,27%	25,52%
Premium Debtors/Total Assets	0,24%	1,14%	42,48%	3,95%	29,47%	10,21%	1,49%	5,52%	20,36%	14,23%
Reinsurance										
Risk Retention Ratio	100,00%	100,00%	100,00%	100,00%	100,00%	100,00%	100,00%	100,00%	100,00%	100,00%
Actuarial										
Total Assets/Total Reserves	131,39%	338,56%	253,01%	189,73%	516,74%	328,35%	849,74%	#DIV/0!	1058,13%	336,89%
Earnings										
Profit After Tax (000)	4	4630	168	105	401	-31	29	-60	223	5469
Return on Equity	0,57%	25,66%	3,25%	11,36%	10,80%	-5,58%	1,14%	-3,88%	10,56%	15,48%
Return on Assets	0,10%	15,27%	1,76%	4,51%	2,40%	-2,88%	0,90%	-3,38%	8,57%	7,63%
Loss Ratio	11,67%	19,71%	33,80%	11,34%	27,82%	25,67%	14,06%	15,96%	20,60%	24,54%
Net Commission Ratio	0,00%	7,25%	22,57%	8,81%	2,62%	6,75%	0,00%	2,13%	3,42%	8,51%
Net Expense Ratio	100,00%	37,55%	33,44%	75,07%	69,07%	57,73%	75,98%	141,49%	54,27%	48,91%
Combined Ratio	111,67%	64,51%	89,81%	95,22%	99,51%	90,22%	89,88%	159,57%	78,29%	81,96%
Investment Income/NPW Ratio	30,00%	0,00%	0,00%	75,07%	13,85%	52,75%	0,00%	37,23%	51,26%	8,96%
Investment Income/Total Financial Assets	0,37%	0,00%	0,00%	5,30%	0,00%	2,38%	0,00%	300,00%	0,92%	0,26%
Liquidity										
Working Capital	2 881	11 061	3 826	741	-2 095	146	81	85	485	17 211
Current ratio	2077,40%	488,81%	694,72%	414,53%	52,49%	157,77%	15,91%	43,23%	323,04%	191%
Market Share of Total Liquid Assets	72,58%	5,65%	0,31%	2,79%	0,20%	7,99%	0,15%	0,06%	3,00%	6,99%
Market Shares										
Market Share Based on GPW	0,15%	42,53%	18,36%	2,67%	29,34%	2,82%	1,41%	0,24%	2,49%	100%
Market Share Based on NPW	0,15%	42,53%	18,36%	2,67%	29,34%	2,82%	1,41%	0,24%	2,49%	100%
Market Share Based on Total Assets	5,77%	42,30%	13,29%	3,25%	23,29%	1,50%	4,50%	2,48%	3,63%	100%



APPENDIX A2. STATEMENT OF COMPREHENSIVE INCOME FOR FUNERAL ASSURERS FOR THE YEAR ENDING 31 DECEMBER 2017 (000)										
	Orchid	Doves	F. Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
Gross Written Premiums	60	17006	7 341	1 067	11 731	1 126	562	94	995	39 982
Reinsurance Premiums		0	0	0	0	0	0	0	0	0
Net Written Premiums	60	17 006	7 341	1 067	11 731	1 126	562	94	995	39 982
Increase/(Decrease) in UPR		1701	51	0	0	0	27	5	7	1791
Net Earned Premiums	60	15 305	7 290	1 067	11 731	1 126	535	89	988	38 191
Transfer to IBNR			548	0	0			0	1	549
Outstanding claims		0		0	0					0
Paid Claims	7	3 352	2 481	121	3 264	289	79	15	205	9813
Net Commission Incurred		1233	1657	94	307	76		2	34	3403
Technical Result	53	10 720	2 604	852	8 160	761	456	72	748	24 426
Operating Expenses	0	0	0		0	0	0	0	0	0
Underwriting Result	53	10 720	2 604	852	8 160	761	456	72	748	24 426
Management expenses	60	6386	2455	801	8103	650	427	133	540	19555
Investment Income	11			8		3		3	3	28
Unrealised Gains/Losses										0
Other expenses			19	16		164		2		201
Other Income		296	38	63	482	19			12	910
Profit Before Tax	4	4 630	168	106	539	-31	883	-60	223	6 462
Taxation				1	138					139
Profit After Tax	4	4 630	168	105	401	-31	883	-60	223	6323
Transfer to policyholders funds										0
Dividends										0
Retained Income	4	4 630	168	105	401	-31	883	-60	223	6323



APPENDIX A3. STATEMENT OF FINANCIAL POSITION FOR FUNERAL ASSURERS AS AT 30 SEPTEMBER 2017 (000)										
	Orchid	Doves	F. Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
ASSETS										
Non-Current Assets										
Fixed Assets	1112	17096	1135	1320	11597	698	1 751	1676	1 775	38160
Investments			4314	86	94	40	796		126	5 456
Investments in Associated Companies										0
Other Non-Current Assets				181			601			782
Total Non-Current Assets	1 112	17 096	5 449	1 587	11 691	738	3 148	1 676	1 901	44 398
Technical Assets										
Reinsurers' Share of O/S Claims										0
Deferred Acquisition Cost (DAC)										0
Total Technical Assets	0	0	0	0	0	0	0	0	0	0
Current Assets										
Cash & cash equivalents	2	927	30	30	34	46	5	1	36	1 111
Money Market Investments	3000	787		36	0	40			42	3905
Current Prescribed Assets										0
Premium Receivables	10	347	4 047	92	4 921	110	48	98	530	10 203
Intercompany Investments	16	9 673								9 689
Inventory and Other Debtors	4	1498		584	55	201	28		93	2 463
Total Current Assets	3 032	13 232	4 077	742	5 010	397	81	99	701	27 371
TOTAL ASSETS	4 144	30 328	9 526	2 329	16 701	1 135	3 229	1 775	2 602	71 769
Liabilities										
Deferred Tax Liabilities		533			1427				28	1988
Future policyholders benefits	3148	8958	3765	1227	3232	328	380		246	21284
Loans		617	336		1223		204			2380
Current Tax provisions					304					304
Gross Outstanding Claims								14		14
IBNR										0
UPR	67									67
Creditors	79	3		178			97	214		
Amount due to related companies	143								130	273
Other Creditors		2171	251		6801	251			86	9560
Total Liabilities	3 437	12 282	4 352	1 405	12 987	579	681	228	490	35 870
SHAREHOLDERS' EQUITY										
Share Capital	13	4255	411		1500	1049	930	0	211	8369
Share Premium	1 334		1 610		0		1 229		978	5151
Revaluation & Other Reserves	268	1481	502	900	2925	359		1773	36	8244
Retained Profit	-908	12310	2 651	24	-711	-852	389	-226	887	13564
Shareholders's Equity	707	18 046	5 174	924	3 714	556	2 548	1 547	2 112	35 328
TOTAL EQUITY & LIABILITIES	4 144	30 328	9 526	2 329	16 701	1 135	3 229	1 775	2 602	71 769



Appendix A4 Asset breakdown of the funeral assurance industry as at 31 December 2017

	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets(000)			Total Assets (000)		
	Dec-16	Dec-17	Var	Dec-16	Dec-17	Var	Dec-16	Dec-17	Var	Dec-16	Dec-17	Var	Dec-16	Dec-17	Var	Dec-16	Dec-17	var	Dec-16	Dec-17	Growth
Orchid	1124	1 112	-1%	16	24	50%	98	3000	0%	12	3	-75%	32	5	-84%	0	0	0%	1 282	4 144	223%
Doves	4 910	8 513	73%	4	6	50%	0	0	0%	1095	927	-15%	17 411	20 101	15%	68	781	91%	23 488	30 328	29%
F.Funeral	861	1 135	32%	10	15	50%	0	0	0%	23	30	30%	9 574	8 326	-13%	0	20	0%	10 468	9 526	-9%
Foundation	1 395	1 320	-5%	0	0	0%	18	0	-100%	69	30	-57%	810	857	6%	103	122	18%	2 395	2 329	-3%
Moonlight	11 498	11 597	1%	0	0	0%	0	0	0%	37	34	-8%	4 728	4 976	5%	53	94	77%	16 316	16 701	2%
Passion	640	640	0%	0	0	0%	0	40	0%	32	46	44%	555	369	-34%	20	40	0%	1 247	1 135	-9%
Ruvimbo	1 582	1 751	11%	0	0	0%	0		0%	14	5	-64%	1015	1 460	44%	13	13	0%	2 624	3 229	23%
Sunset	1 694	1 676	-1%	0	0	0%	0	0	0%	1	1	0%	9	98	989%	0	0	0%	1 704	1 775	4%
Vineyard	1 452	1 655	14%	2	3	50%	102	96	-6%	27	36	33%	623	742	19%	69	70	1%	2 275	2 602	14%
Total	25 156	29 399	17%	32	48	50%	218	3136	1339%	1310	1112	-15%	34 757	36 934	6%	326	1140	250%	61 799	71 769	16%



Appendix A5: Movements in Circulars and Statutory Instruments

Statutory Instrument/ Circular	Subject	Date Gazetted
Circular 1 of 2017	Review of preserved employer's portion	24-Jan-17
Circular 2 of 2017	Pension Commutation for retrenched employees.	27-Jan-17
Circular 3 of 2017	Data collection exercise - Membership Information	3-Apr-17
Circular 4 of 2017	Revised quarterly return template	24-Apr-17
Circular 5 of 2017	Amendment of Fund Rules to comply with prescribed requirements.	25-Apr-17
Circular 6 of 2017	Use of employees of registered Insurers, Banc assurance, Corporate agents and Consultants in transacting insurance business.	26-Apr-17
Circular 7 of 2017	Prohibition of Insurance Touting	5-Jul-17
Circular 8 of 2017	Insurance Awareness Day	7-Jul-17
Circular 9 of 2017	Data Collection Exercise- Membership Information	10-Jul-17
Circular 10 of 2017	Sunday Mail Business News 06 August 2017 'RBZ Credit Bureau registers 97% bank loans'	8-Aug-17
Statutory Instrument 95 of 2017	Capital and admissibility of assets	25-Aug-17
Circular 11 of 2017	Invitation for input to the 2018 National Budget Statement	6-Oct-17
Circular 12 of 2017	Training workshop on insurance and pension commission online system	26-Oct-17
Circular 13 of 2017	Data collection exercise - Membership Information	30-Oct-17
Circular 14 of 2017	Certificate of proficiency (COP) in trusteeship	7-Nov-17
Circular 15 of 2017	Restrictions of placement of insurance business outside Zimbabwe	9-Nov-17
Circular 16 of 2017	Training workshop on insurance and pension commission online system	7-Dec-17



Appendix A6: Prescribed assets available in the market as at 31 December 2017

Name of The Issuer	Face Value (\$)	Salient Features	Remarks/Comments
Applications Approved in 2016			
1. Honde Hydro Power Consolidated	5,000,000	✓ Coupon rate of 8.5% to 9%, with a tenor of 5years ✓ Purpose: Intended for the construction of Hauna Power Station and to use some of the funds as working capital	Application was approved on the 13 th of May 2016. The Bond was fully subscribed as advised by IMARA
2. IDBZ Series 1 2015B	5,000,000	✓ Coupon rate of 9.5% with a tenor of 5 years ✓ Purpose: To finance housing projects namely New Marimba Park in Harare and Clipshan Views Suburb in Masvingo	Application was approved on the 13th of May 2016. IDBZ managed to raise \$5 million. US\$0.5 million was raised from the insurance industry and US\$0.5 million from the pensions industry. The balance of \$4 million that was raised is uncategorized (i.e. IDBZ could not confirm how much was invested from the pension and insurance industry as some of the investors were in form of nominees)
3. Agribank and FBC, 2016/2017 Agrobills	20,000,000	✓ Coupon rate negotiable on private placement. ✓ Purpose: is to finance the 2016/2017 agricultural season	Application approved on the 27th of July 2016 and is now open for subscription. Fully subscribed and is closed. Repayments for the bond have started and are expected to be fully paid off by November 2017 as per the maturity schedule
4. ZETDC	15,000,000	✓ Coupon 7% per annum ✓ Purpose: to finance ZETDC Pre-Paid Meters	Application approved on the 27th of July 2016 and is still open for subscription. The Commission has not yet received update on the uptake of the bond by the industry.



Name of The Issuer	Face Value (\$)	Salient Features	Remarks/Comments
5. Agricultural Marketing Authority (AMA) Bills being arranged by CBZ	50,000,000	✓ Coupon rate of 8.5% for a tenor of 360 days. ✓ Government Guarantee as security ✓ Purpose: to capacitate GMB to procure up to 100,000 metric tonnes of maize and 22000 metric tonnes of wheat	Application approved on the 9th of September 2016. The application has since been closed with total subscriptions amounting to USD49,940,000, and amount due to investors at maturity will be USD53,764,091.92 Repayments to be made on the 7th of September 2017
6. Agribank 2016/2017 Agrobills	5,000,000	✓ Coupon rate that is negotiable on private placement ✓ Government Guarantee as security ✓ Purpose: is to finance the 2016/2017 agricultural season	Application approved on the 23rd of December 2016 and is CLOSED \$3.075 million was raised and the repayments are to be made in December 2017
7. IDBZ Housing Bond (Empumalanga West Housing Project)	5,800,000	✓ Coupon rate of 8.5% p.a. with a tenor of 7 years ✓ Purpose: financing of the Mpumalanga West Housing Project. ✓ Government Guarantee as security	Application was approved on the 28th of December 2016 and is open for subscription. To date, funds totaling \$1.024 have been raised, of which \$1 million was raised from the pension industry and \$0.024 from the insurance industry. The bond's maturity date is the 8th of December 2021 and the first coupon payment was paid in June 2017.
Applications Approved in 2017 as at the 4 August 2017			
1. ZB 2016/2017 Agro bills	10,000,000	✓ Coupon rate of 6.5% with a tenor of one year. ✓ Purpose: to finance the 2016/2017 agricultural season.	Application approved on the 13th of February 2017 and is open for subscription. Available Update on uptake of the bond yet to be received
2. Zimbabwe Power Company	There	✓ No term sheet has been submitted by the applicant	The application was approved by the Minister of Finance and Economic Development on the 20th of February 2017.



Name of The Issuer	Face Value (\$)	Salient Features	Remarks/Comments
		✓ Purpose: financing of the 30MW Gaines Hydro Power generation plant and 100MW Gwanda Solar Project	However, the application was done directly to the Ministry of Finance and Economic Development and therefore the Commission does not have information relating to the bond's salient features and the total amount expected to be raised through this bond issue.
3. ZINARA	100,000,000	✓ Coupon rate of 6.5% and a tenor of 12 months ✓ Purpose: to finance road rehabilitation	Application approved on the 6 th of April 2017 and is open for subscription. Update on uptake of the bond yet to be received.
4. IDBZ Housing Bond (Sumben Housing Project)	12,200,000	✓ Coupon rate of 8.5% p.a with a tenor of 7 years inclusive of 2 years grace period. ✓ Purpose: Financing of the Sumben Housing Project in Harare. ✓ Government Guarantee as security.	Application was approved on 28 April 2017 and it is open for subscription. To date, no funds have been raised by IDBZ in respect of this bond issuance.
5. Government of Zimbabwe Irrigation Infrastructure Treasury Bond (IITB)	50,000,000	✓ Coupon of 6% plus Consumer Price Index (CPI) and a tenor of 3 years ✓ Purpose: To contribute towards Command Agriculture through funding of development of irrigation infrastructure	The instrument was structured between the Ministry of Finance and Economic Development, the insurance and pensions industry and IPEC. However, the instrument has since been handed over to the Reserve of Zimbabwe to contact the potential subscribers and issue them with the instrument.
6. IDBZ Kariba Housing Bond (Series 2 2017B Bond)	14,900,000	✓ Coupon rate less or equal to 10%, tenor ranging from 3 to 10 years and guaranteed by the Government of Zimbabwe	Application approved by the Minister and the approval letter dated the 28 th of June 2017 written by the Commission has since been dispatched to the applicant.



Name of The Issuer	Face Value (\$)	Salient Features	Remarks/Comments
			Total amount of US\$7.6 million raised to date, of which about US\$1.38 million (\$0.88 from pension funds and \$0.5 million from the insurance industry) has been raised from both the insurance and pensions industry. The balance of \$6.2 raised is uncategorized (i.e. IDBZ could not confirm how much was invested from the pension and insurance industry as some of the investors were in form of nominees). The bond matures on 22 June 2022 and no repayments have been done so far
7. Afreximbank US\$300 million bond Issue	300,000,000	✓ Tenor of two years and guaranteed by the Government of the Republic of Zimbabwe ✓ Purpose: to provide a financial instrument that is used as security for interbank lending, thereby enabling liquidity to flow in the banking system and broader economy	Application approved by the Minister and the approval letter dated the 27 th of June 2017 written by the Commission has since been dispatched to the applicant
8. CBZ AMA Bills	80,000,000	✓ Purpose is to finance purchase of grain	Application approved by the Minister and the approval letter dated the 4 th of July 2017 written by the Commission has since been dispatched to the applicant
9. Agribank and FBC Agro bills	20,000,000	✓ Tenor of 270 days and 360 days ✓ Secured by a Government Guarantee (however, this has not been finalized between the Banks and the Ministry of Finance)	Application approved by the Minister and the approval letter dated the 5 th of July 2017 written by the Commission has since been dispatched to the applicant



Name of The Issuer	Face Value (\$)	Salient Features	Remarks/Comments
		✓ Purpose: to finance the 2017/18 agricultural season	
10. Fidelity Life Assurance Southview Park	12,600,000	✓ a tenor of 5 years at a coupon rate of 5% p.a. ✓ Purpose: to service about 5974 stands for the Fidelity Southview Park Project	The request for the extension of the Bond Maturity was approved by the Commission on the 18 th of July 2017. The Ministry of Finance and Economic Development was also advised of the approval of the maturity extension to the 30 th April 2018 through our letter dated the 18 th of July 2018
11. Metbank (Command Agriculture)	30,000,000	✓ Purpose: To finance fertilizer producers for the winter wheat season (Command Agriculture)	Approval of Prescribed Asset Status granted in letter received on 18 August 2017. Metbank advised of approval
12. Plum Solar (Private) Limited – Solar 5MW Solar Power Plant	3,000,000	✓ 7-year paper at USD labor plus 9% ✓ To finance the development of a solar power plant in Plumtree	Financial instrument got direct ministerial approval for the prescribed asset status.
13. IDBZ – University Staff and Student Project	35,100,000	✓ Participating Preference Shares at fixed rate of 5% ✓ Purpose for the construction of various State universities staff and student accommodation	Financial instrument got direct ministerial approval for the prescribed asset status.
Applications Under Consideration/Assessment as at 1 September 2017			
Name of Applicant	Face Value (\$)	Salient Features	Remarks/Comments



Name of The Issuer	Face Value (\$)	Salient Features	Remarks/Comments
Oxygen Energy (Private) Limited through Regatta Financial Advisors	28,000,000	✓ Tenor of 5 to 10 years at a coupon rate of 10% ✓ Purpose: To finance 20MW rooftop Solar Plants with capacity to generate 20MW on Old Mutual Buildings	Application is under consideration.
1. ZB Financial Holdings – GMB Agro Bills	50,000,000	✓ 365 days tenor at coupon rate of 8% ✓ Purpose – For the procurement and storage of grain from farmers	Processing of application held in abeyance pending receipt of GMB's Borrowing Power Certificate and Government Guarantee for the proposed financial instrument